

**Canada and World Issues:
A Geographic Analysis
Grade 12
University preparation
CGW4U**

MODULE: THE GLOBAL ECONOMY

Time: Minimum 5 Hours

Goal

Our main goal in producing this module is to develop a clear understanding of the global economy and to raise awareness of how globalisation influences the daily lives of students.

Goal:

To provide lesson plans using the Ontario Curriculum for Canadian and World Studies that will enable high school students to develop a clear understanding of how the global economy functions.

Objectives:

- To raise awareness of how globalization affects the daily lives of students.
- To analyse the perspectives of various stakeholders at the local, national and international level on the global economy.

Module Description

In this module, students explore the challenges of creating a sustainable future through a critical analysis of the global economy at the local, national and international level. Students will evaluate the approaches, policies and principles relating to the global economy placing specific emphasis on their own personal lives and how their actions play a part in globalisation.

This module provides a firm foundation for understanding the terminology and key issues pertaining to the global economy. Furthermore, a number of geographic methods are used to introduce students to the issues surrounding the global economy. These include data analysis, issue analysis, and mapping techniques. Furthermore, the lesson plans incorporate a variety of teaching and learning methods to provide a stimulating environment for the learner to gather knowledge and encourage critical and analytical debate on the issue of the global economy. The use of simulation, role play, group discussion and a number of other participatory techniques are used throughout the module.

The module is self-containing meaning that all the resources needed to use the lesson plans are included. Should you be interested in exploring the issue further, a number of references are provided for your convenience.

Introduction

What is globalisation?

Competing ideologies would have us believe that globalisation is on the one hand, the force that brings us closer together - creating a network of interdependence and mutual aid. While on the other hand, globalisation is pushing us further apart: by promoting an economic system that results in further inequality between rich and poor.

In the end, the term globalisation has no easy definition. Globalisation is used to describe a wide variety of trends and phenomena. In its broadest sense, it describes the growing economic and cultural transfers that occur between nations – be it access to the world-wide web, the opening of another McDonald's or another free trade treaty. In a more narrow sense, globalisation is used to refer to the increased international traffic of goods and services, as well as the economic policies of trade liberalization.

Globalisation has largely been about economics and expanding the international trade in goods and services. The process of expanding trade began five centuries ago when European explorers began their search for new wealth. The European nations extracted raw materials from their colonies using labour from native populations and then off-loaded their surplus goods on these colonial nations.

The story is not much different today. Western countries import raw materials from Third World countries and export finished products to these countries. One thing is different in today's global economy, the players. World trade is dominated by multi-national corporations that have introduced Western-style consumerism across the globe (See Appendix 6). The UNDP reports that global corporations such as General Motors, Wal Mart and Ford Motor Co. are more powerful than most nation-states. Today, over half of the 100 largest economies are not run by countries but by multi-national corporations.

At the end of World War Two, a new set of rules were laid out for the global economy. The main motivation for the new rules was to prevent any future financial crises such as the Great Depression of the 1930s that crippled the world economy. In 1944, world leaders met in Bretton Woods, New England to lay the framework for a stable, cooperative international monetary system. Three institutions emerged to coordinate the global economy:

1. The International Monetary Fund (IMF) was set up to maintain currency stability and develop world trade by establishing a multilateral system of payments between countries based on fixed exchange rates and complete convertibility from one currency to another. It was also mandated as a lender of last resort to supply emergency loans to countries which ran into cash flow problems (See Appendix 1).
2. The World Bank (International Bank for Reconstruction and Development) was founded as a means of reviving war-damaged European economies, a mandate that was later extended to developing countries (See Appendix 2).
3. The General Agreement on Tariffs and Trade (GATT)/World Trade Organization (WTO). GATT was established at Bretton Woods as a set of rules to govern world trade and stop the protectionist policies that crippled the world economy in the 1930s. It was replaced in 1995 by the World Trade Organization which expanded the GATT mandate beyond the trade in goods to trade in services as well. Rules of trade were established to cover areas like telecommunications, banking, intellectual property rights and investments. Furthermore, while GATT was not a legally binding agreement, the WTO can impose trade sanctions on nations that refuse to comply with trade regulations (See Appendix 3) (New Internationalist: 320, 2000).

With the establishment of these three institutions, a new economic order began to unfold. With a restored confidence in the economy, trade expanded and the World Bank started issuing massive loans to the Third World for development. The price of primary commodities such as oil increased and the profits from these commodities was invested in Northern Banks. More loans were issued to Third World Countries, without regard to their use. The loan money was often used for prestige projects such as dams and roads or to buy arms for military dictatorships. The growth in the economy started to fizzle at this time and the western economy entered a period economists labelled stagflation where prices soared and growth slowed. As a result, both interest rates and unemployment increased. This meant that the west had less money to loan to Third World countries who were now facing a growing debt load as a result of the hike in interest rates. During this period, the IMF began to offer conditional loans to debt-ridden countries. The IMF would provide loans on the condition that the borrowing country adopt a structural adjustment policy (SAP) including the following measures:

- Privatising public enterprises
- Reducing government spending on social services
- Liberalising trade
- Increasing exports
- Devaluing their currency

The SAPs were set up to help reduce the debt load these countries faced. It has had the opposite effect. Due to increased interest rates, Third World Countries have had to spend more on paying the interest. The increase in exports has resulted in a flooding of the market of most primary commodities which has driven the price down. Third world countries have had to export more to maintain current export revenue levels. The reduction in social services has created an increase in the death of children and the incidence of malnutrition (Pillaged Lives, 1997). In contrast to the original goals of globalisation – worldwide prosperity and improvements in quality of life – there has been an increase in inequality and poverty as national governments lose their ability to control their development strategies and policies. Groups around the world are working to combat these problems and advocate for a new economic regime. The New Internationalist's No-Nonsense Guide to Globalisation summarises some of these efforts in five concrete steps:

1. Increase citizen participation

The institutions which determine global trade and investment policy have an obligation to incorporate the opinions and insights of civil society into their decision-making.

2. Establish a global financial authority

The world needs a new international regulatory agency to reduce volatility and inefficiency in global financial markets.

3. Honour the earth

Global environmental standards must be set based on sustainability, equity and justice and should be imbedded in all international trade and investment agreements.

4. Stop speculation by supporting a tax on international financial transactions

A tax on financial speculation could help stabilize global markets and capture much-needed funds for global development.

5. Control capital for the public good

An alternative investment code is needed for democratic control of capital and to stimulate investment that benefits local communities. This would replace the WTO rules that favour wealthy investors (NI No-Nonsense Guide to Globalisation, 2000).

A Global Alternative: Fair Trade

Fair trade is an alternative approach to conventional international trade. Rather than exploiting the wildly fluctuating commodity market, it is a partnership between producers, traders or buyers and consumers. The result is a more equitable and sustainable exchange of goods, that recognizes the cost of labour and production to the producer.

Teaching about fair trade practices is one way to raise awareness of the realities of our trading relationships with other countries. More importantly, it is also a chance to re-evaluate the impact of our consumer choices on the lives of others. Teaching responsibility is no easy task, but by learning about the alternatives to conventional trade and the choices they have, students will feel empowered to work towards positive social change.

Goals of Fair Trade

Alternative trading organizations or fair traders in Canada and the US pay fair prices to small producers, prices that recognize the true cost of labour and production.

Many fair trade retailers, wholesalers and producers are member of the International Federation of Alternative Trade (IFAT). IFAT is a global network of fair trade organizations that works to improved livelihoods and well-being of marginalized people through trade. Members of IFAT agree to follow the goals of fair trade as outlined below.

Fair Trade Practices

- *to pay fair prices to producers which recognize the cost of labour and production*
- *to buy directly from producers and pay an advance of up to 50% to allow producers to buy seeds, tools and materials*
- *to raise awareness among consumers of the negative impact of traditional trade on small producers*
- *to protect human rights by promoting social justice, sound environmental practices and economic security*
- *to work with democratically-run organizations like co-operatives and self-help groups*
- *to promote development opportunities for women and indigenous people, and to protect children from exploitation in the production process*

Source: The International Federation of Alternative Trade. www.ifat.org

Globalisation and Free Trade

Free trade zones, or Export Processing Zones (EPZs), are industrial zones set up to attract foreign investment. The EPZs offer special incentives to attract investment like free infrastructure, tax breaks, exemption from labour and environmental laws and a supply of cheap labour.

Over 27 million people work in some 850 EPZs worldwide.

EPZs Worldwide	
Country	Total Number of EPZs
US and Mexico	320
Asia	225
Caribbean	51
Latin America	41
Middle East	39
Philippines	35
Africa	47

Source: Maquila Solidarity Network

The factories situated in these regions are often labeled sweatshops. The term sweatshop was first used in the 19th century to describe a system of employment where factory owners profited by forcing their employees to work long days under unsafe conditions, for subsistence wages. Large corporations have reverted to these sweatshop standards by exposing workers to extreme exploitation, including the absence of a living wage or benefits, poor working conditions and arbitrary discipline (The OXFAM Campaigner).

EPZs attract industry that is labour intensive such as garments and footwear and the assembly of electronic components. These industries require only basic technology and a low-skilled labour force.

The Labour Behind the Label Coalition, a group of unions, churches and NGOs working to address abuses in the garment industry have initiated the Fair Wear campaign.

Fair Wear is an action that calls for a new corporate ethic that pushes companies to take responsibility for the products they make and sell; to make them accountable to their workers, consumers and the environment. It calls on governments to take leadership and enforce legislation that is in place to protect workers.

Source: Ten Days for Global Justice, 1999.

Very few of the fashion giants actually produce their own products anymore. It is much cheaper for companies to contract out the production. The number of companies involved in production is so enormous that they must bid against each other for contracts. Contracts are granted to the companies that offer the lowest costs. These companies are typically located in free trade zones known for their restrictive labour conditions and low taxes.

Worldwide, there are 23.6 million workers employed in the garment industry. Of that total, 75% are women. Women are stereotypically good sewers, known for their "quick fingers and good discipline." Also, women are more likely to tolerate indignity and exploitation for the sake of supporting their family (Ransom, 2000).

Profile of Levi Strauss and Co.

- *Levis jeans were first produced in 1872 as a response to the demand from California gold-miners for hard-wearing work clothes.*
- *The World's largest garment industry with annual sales of \$7 billion US.*

Human Rights

Withdrew production contracts from Burma and China because of human-rights violations.

Offered education to Bangladeshi children when it discovered child-labour at one of its contractors.

Will not allow independent monitoring of its garment factories.

Environment

Shows little interest in organic cotton and alternative fibres.

Source: New Internationalist: 302, 1998

Traded Goods



Jeans

'Denim' is probably a corruption of the French *serge de Nîmes*, a twill-weave fabric made in Nîmes during the 17th century. The word 'jean' was used to describe a fustian European fabric made from a cotton, linen and wool blend. The word 'jean' was named after sailors in Genoa, Italy. Jean made entirely from cotton was used for its durability during the slave labour trade of the 18th century. Indigo from plants in the Americas and India became the colour of work wear. Jeans moved into mainstream fashion in the 1930s when Hollywood movies portrayed the 'authentic' cowboys in denim 'waist overalls'. Production of jeans moved south after the liberalization of trade in the late 1970s using cheap – usually female labour – in sweatshop conditions (New Internationalist: 302, 1998).

Together, the apparel and textile industries are the largest industrial employer in the world.

The apparel sector represents about half that global industry. More than 23.6 million workers are employed in the garment industry worldwide. Close to 75% are women.

*Source: Maquila Solidarity Network
www.maquilasolidarity.org*



Coffee

Coffee is believed to have originated in Kafa, Ethiopia. Gall people in Ethiopia noticed that they got an energy boost when they ate the coffee cherry ground up with animal fat. Centuries later, the coffee bean arrived in Europe with 17th Century Italian traders. With the expansion of European trading empires coffee was taken back to the tropical regions of Africa and on to the Caribbean, Latin America and South Asia to be grown on estates. Demand for coffee thrived in both European and American markets. Profits from the coffee trade began to concentrate in the shipping, processing and retailing sector. The most labour-intensive, risky and unprofitable part of the operation - growing and processing the bean itself - was left to small-scale producers. Prices of coffee have been driven down in recent decades due to the flooding of the market as coffee-producing countries struggle to produce an increasing amount in order to acquire foreign currency to service their escalating international debt (New Internationalist: 271, 1999).



Cocoa

The cocoa bean was first used in Mexico to make a spicy drink during the Mayan Empire. It was a symbol of sanctity. With the invention of the cocoa press in the late 19th century by the Dutchman, Van Houten, the chocolate industry came into being and companies like Cadbury and Rowntree of England and Hersey and Mars in the US were developed. World production of cocoa shifted to West Africa, where Ghana became the largest producer from 1910 to 1979. Soon, other countries were encouraged to set up cocoa plantations and as a result, the supply of cocoa escalated, driving the price down substantially (Ransom, 2000).



Fruit – The Banana

In 1870 Captain Lorenzo Dow Baker landed the schooner *Telegraph* in Jamaica and saw that bananas were popular on local markets. He purchased 160 bunches for one shilling per stalk on Port Antonio docks; 11 days later he sold bunches for two dollars each in Jersey City, making a huge profit. The legendary bounty of the banana trade was established. Bananas were shipped to Boston and New Orleans from Cuba and the Dominican Republic as well as Jamaica. By 1898 some 16 million bunches were being imported into the US (New Internationalist: 317, 1999).

In Canada



Garments

Just over half of the clothing sold by the Canadian garment industry is made in Canada. According to UNITE, the union of Needletrades, Industrial and Textile Employees, organization, imports of clothing are on the rise in Canada and more is being produced by small companies with non-unionized workers. There are 40 000 home-workers in Canada who typically work for less than minimum wage with no enforcement of labour standards.

The move towards fair trade, demands that companies let their costumers know where and how their clothing is made. As well, fair trade groups have been pressuring companies to allow third-party monitoring of their facilities, to ensure that workers are not being exploited.

Fruit Imports in Canada

Of imports from the South, bananas constituted 25 percent, grapes 10 percent and citrus fruits 13 percent. Other fruits such as melons and pineapples constituted 18 percent of imports while orange and other fruit juices accounted for 20 percent. Dried and canned fruits and fruit preparations such as jams made up the remaining 14 percent.

Source: Statistics Canada, Imports, Merchandise Trade, 1997

Between 1987 and 1997 the quantity of fruits such as bananas, grapes, pineapples, citrus and melons imported into Canada from the South increased by approximately 45 percent, from 452 to 656 million kilograms.

Source: Statistics Canada, Imports by Commodity 1998



Coffee

Taking into account the food market alone, the impact of Canadians on nations trading in primary commodities is enormous. According the Coffee Association of Canada, 67% of Canadians drink coffee everyday, and the average coffee drinker has three cups a day.



Cocoa

Statistics from the International Cocoa Organization reveal that total chocolate sales in Canada in 1996 reached \$1 109 billion. This translates into 163 billion kg of chocolate, an average of 5.4 kg of chocolate per person.



Fruit

One of the fastest growing imported food "commodities" in Canada is fruit. Imports of fruit have doubled since 1985. Statistics Canada tells us in 1995, Canada purchased 60%

of its fruit from the U.S., and the remaining 40% from countries in the South - primarily in Latin America. The average Canadian eats more than 13 kilograms of bananas every year. In 1995, Canadians imported \$247 million worth of bananas and banana products.

In 1996 almost a billion dollars worth of fruit and fruit products was imported into Canada from the South. This represented 41 percent of fruit imports from all sources.

The Impact of Cash Cropping

We are beginning to understand the serious environmental and human impacts resulting from commercial fruit growing in these countries. We now know that large-scale production of fruit results in:

- *loss of biodiversity;*
- *excessive use of highly toxic pesticides that are very harmful to the local environment and to farm workers;*
- *soil erosion and siltation of waterways;*
- *poor working conditions including low wages and denial of the right to organize;*
- *reduced self-reliance of small growers and their displacement by large foreign-owned enterprises.*

THE FAIR TRADE MARKET IN CANADA

In Canada, all fair trade labelling is organized through TransFair Canada (TFC). TFC is a membership based, not-for Profit Company that owns and licenses the TransFair label. To carry the TransFair label, a product must have been produced under the principles of fair trade.

TFC is a member of the Fair Trade Labelling Organization (FLO). As a member of FLO, TFC has access to the FLO International Coffee Register which lists certified fair trade producers - family farms and co-operatives that are democratically organized.

Transfair also imports fair trade cocoa and chocolate bars from the Ottawa-based La Siembra co-operative.



FAIR TRADE ALTERNATIVE

TEN THOUSAND VILLAGES

Owned and operated by the Ottawa Alternative Trade Corporation, Ten Thousand Villages imports, sells and promotes a variety of fair trade goods.

BRIDGEHEAD CANADA

Bridgehead has been one of the pioneers in fair trade coffee, tea and cocoa in Ottawa. They continue to serve the Ottawa area, and run several coffeehouses.



FAIR FRUIT

In 1997, a working group was formed to examine the impacts of our consumption of imported fruit. The results pointed to a range of serious concerns. In response, the Fair Fruit initiative was launched, to raise awareness and broaden the available choices of sustainably-produced fruit.

LA SIEMBRA COOPERATIVE

La Siembra Co-op is a leading North American fair trade organization offering consumers high-quality, certified fair trade organic products that improve the livelihoods of family farmers and the well being of communities at home and abroad. Incorporated in 1999, La Siembra is the first organization to import, manufacture and distribute fair trade certified organic cocoa products in North America.



MAQUILA SOLIDARITY NETWORK

The Maquila Solidarity Network (MSN) is a Canadian network promoting solidarity with groups in Mexico, Central America, and Asia organizing in maquiladora factories and export processing zones to improve conditions and win a living wage. In a global economy it is essential that groups in the North and South work together for employment with dignity, fair wages and working conditions, and healthy workplaces and communities.

Why teach about globalisation?

To the average person the term globalisation conjures up a lot of different and sometimes competing images: from Coca-Cola and McDonald's to international protests, the spread of the Internet and campaigns on fair trade. Heavy with connotations, globalisation is an issue that everyone hears about but few are brave enough to discuss. Why?

In your classroom you are bound to find the same confusion and hesitance to define the term "globalisation", and yet all of the students will no doubt agree that globalisation has had an impact on their life, even if it is the impact of McDonalds or Much Music Videos. There is no doubt that the countries and regions of the planet are becoming increasingly interconnected. Through the increasing influence of media, the Internet, the movement of capital and investment, we have become part of a global community. But, what does it mean to be a part of globalisation? Understanding our relationship to the emerging global community, and the process of growing interdependence of countries through trade and trade liberalization, is what this module is about.

Teaching about globalisation will not only help your students to overcome their initial shyness to engage the topic, but will also help them understand how globalisation affects them and shapes the world we all live in. It is not difficult to understand that the growing economic interdependence of countries and the infiltration of mass media on a global scale are having an unprecedented impact on societies around the world. This module is designed to help students understand their place and responsibility in our globalize system.

Why teach about fair trade?

Choosing your brand of morning coffee, shopping for your breakfast, or visiting your favourite clothing store may not seem like an important task. But, what you buy has a profound impact on the millions of people around the world who depend on the food or clothing trade for their livelihood.

As we move towards a globally integrated market, it is imperative that we examine the way in which increased free trade is affecting all aspects of society - from workers and suppliers, to the end consumers. Without a doubt, globalisation has brought about an increase in the amount of international trade. Experience in the south, however, tells us that although world trade has been expanding fast for rich nations, the share to developing countries is declining, although they represent most of the world's populations. Moreover, the cash value of their exports, primarily basic commodities - metal ores, coffee, or foodstuffs, has hardly increased at all.

Currently the rules of trade are set by the western global trio: the IMF, World Bank and WTO (See Appendix 1, 2 and 3). Despite their rhetoric of sharing increased wealth, the fact remains that the current system of trade concentrates wealth into a few hands - usually northern based trans-nationals, with little to no consideration for the workers that supply the foodstuffs or raw materials. As prices for primary commodities and popular foodstuffs (coffee, cocoa or bananas) continue to decrease, and clothing manufacturers continue to make their clothes where the costs are cheapest, the fate of the communities dependent on these exports becomes all the more precarious.

And yet, we do have a choice. By teaching your class about fair trade, you introduce the idea of ethical consumption, and positive consumerism. You are teaching your students that trade can be used to benefit developing countries and that by supporting fair trade they are promoting sustainable agricultural practices and bettering the livelihoods of individuals.